

Northgate Talent Partners LLC

www.northgatetalent.com

May 3, 2017

Jennifer Frazier
Chief Operating Officer
Sanchez-Baker

Dear Ms. Frazier:

Thank you for the two long conversations this spring, and for how candid you were in both of them. A board seat is a harder brief than a management role, and you told us plainly what the last eighteen months have asked of your directors. That helps us more than a job description would. This letter sets out the terms on which we will conduct the search for the independent director your board intends to seat. We have written it in plain language and we mean it to be the whole of our agreement on this work. Where a term matters to you and reads wrong, telephone me before you sign it and we will settle it between us.

What We Are Engaged to Do

We will conduct a retained search for one independent director for the board of Sanchez-Baker. The work runs from the written specification through to the appointment. We agree the brief with you, map the market it sits in, approach candidates in confidence, assess them against the brief, present a slate, take references on the finalists, and stay with you through the board's decision and the invitation. We are retained for the search itself and are not paid on placement. Our obligation is to bring you the field and to tell you honestly what we think of it.

Some work sits outside this letter. We are not conducting a governance review, we are not benchmarking board compensation, and we are not searching for management roles. Each of those is available to you under a separate engagement. If this search turns up a question of that kind, and board searches often do, we will raise it with you and wait for your instruction before we begin any of it.

How We Will Run It

Our method is deliberate at the front and quick at the back. We spend the first weeks on the specification, because everything after it is measured against that document,

and a seat filled against a vague brief tends to be filled again. The search then runs in four stages, and you will know at any moment which of them we are in.

- 1. Specification. We interview your board members and the executives a new director would work alongside, and we write a specification that states the purpose of the seat, the experience it requires, and the committee work it carries. Nothing goes to a candidate until you have approved that document.
- 2. Market map. We chart the companies and sectors where the experience you want actually sits, and we build the long list from that map instead of from a contact book. You will see the map, so that you can tell us where we have looked in the wrong place.
- 3. Approach and assessment. Our consultants make the approaches themselves, by telephone and in confidence. We assess each candidate against the specification and keep a written record of every conversation, and we do not carry anyone forward on enthusiasm alone.
- 4. Slate and references. We present the slate in person and take the board through it as a group. References are taken on the finalists only, with the candidate's consent, and we report what we hear without softening it.

The People on Your Search

Jeffrey Patterson, a Research Consultant with this firm, carries the search day to day and is your first call on anything that will not wait. James Grant, our Senior Consultant on the engagement, runs the assessment conversations and will sit with you when the slate is presented. Jason Bell, Research Associate, builds the market map and the long list and makes the first calls into the market. I read everything that leaves this firm on your search, and I am accountable to you for all of it.

Fees and Payment

Our fee for this search is \$66,000, fixed, and it does not move with the compensation of the director you appoint. We commence work on May 13, 2017, subject to your signature on this letter. We bill the fee in three equal installments: the first on commencement, the second when the slate is presented, and the third on appointment or at the close of the search, whichever comes first. Out-of-pocket expenses, which on a search of this kind means candidate travel and our own, are billed at cost with the invoice for the period in which they fall. Invoices are payable within thirty days of their date.

Term and Termination

This agreement takes effect on the date you sign below and continues until the search closes and our final invoice is paid. Either of us may end it earlier on written notice to the other. If you end it, you owe us the fee earned to that point together with expenses incurred, and we will hand over the specification, the market map, and the candidate record as they stand, so that whoever takes the work on is not starting from nothing. If the director we place leaves the board within twelve months for a reason other than a change in the board's own composition, we will conduct one replacement search for expenses only.

Confidentiality and Discretion

We will hold what you tell us in confidence and use it only for this engagement. Inside the firm, access is limited to the people named above and to the administrative staff whose work on the search requires it. We will not disclose your information outside the firm without your consent, except where a court or another authority with jurisdiction compels it, and in that event we will tell you first if we are free to. Discretion runs in the other direction as well, and it is the part of this business we are strictest about: candidates are described to you by their current role and their record, and their names are used only in the slate document and in the room where it is discussed. For the life of this engagement and for twelve months after it closes, we will not approach anyone employed by Sanchez-Baker for this or any other search.

Limitation of Liability

Our liability to you arising out of this engagement, however it is framed, will not exceed the total fees you pay us under it, except in the case of our fraud or willful misconduct. Neither of us will be liable to the other for indirect or consequential loss, including lost profits or lost opportunity. We take references, verify credentials, and report to you what we find. The appointment itself is the board's decision to make, and we do not warrant how any director will perform once seated.

Governing Law

This agreement is governed by the law of the state in which this firm keeps its principal office, without regard to its conflict-of-laws rules. If a dispute arises between us, each of us will put someone with authority to settle it on a call before either begins a proceeding. This letter and its signature page are the entire agreement between us on their subject, and either may be changed only in a writing signed by both of us.

If all of this matches your understanding, please sign both copies of the signature page, keep one for your file, and return the other to my office. If any of it does not, telephone me and we will put it right before you sign anything. The one thing I need from you now is the signed letter. When it reaches me we will book the specification interviews with your board and begin.

With warm regards,

Kelly Chavez

Managing Director

Date: May 3, 2017

Jennifer Frazier

Chief Operating Officer, Sanchez-Baker

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